

August 28, 2024

TMT: Semiconductors & Semiconductor Capital Equipment

U.S. Equity Research

NVIDIA Corporation (NVDA)

Price Target Change

Solid Guide, GB200 NVL36/72 Ramping into 2025; Raising Ests-PT

NVDA reported a good JulQ at \$30.0B (consensus \$28.9B), guided to a better OctQ at \$32.5B (slightly cons. \$31.9B) with H200 accelerating.

Key takeaways: **1)** OctQ top line at ~\$32.5B, estimate DC ~\$28.5B up 9% q/q (up 96% y/y) with JulQ Purchase Commitments up 48% q/q, pointing to stronger 2H, **2)** new Blackwell GPU to ship "several billions of dollars" in the JanQ, and **3)** JulQ Networking up 16% q/q with Ethernet doubling. *NVDA stock is off in after-hours as OctQ guide was modestly below optimistic expectations of ~\$33-34B; NVDA noted potential GB200 DGX NVL36/72 racks versus full servers in 2025, which we believe is still a strong tailwind as we discuss below.*

Reiterating Outperform, raise ests/PT to \$140 from \$132, as NVDA remains our Mizuho 2024 Top Pick, leading the AI accelerator market growing at a >60% CAGR '23-'27E.

Key Points

Good OctQ guide, driven by further Hopper ramps. NVDA guided OctQ to \$32.5B/\$0.73 (in line with cons. of \$31.9B/\$0.71). NVDA noted JulQ purchase commitments at \$27.8B, up 48% q/q, pointing to strong 2H ramps with H200.

Data Center (87% of revenue) growing 154% y/y. JulQ DC rev \$26.3B was up 16% q/q (ABOVE cons \$25.1B), with Hyperscalers at ~45% mix. NVDA noted: **1)** "several \$B" of new Blackwell (GB200) revs in the F4Q/JanQ, **2)** Networking strength with JulQ up 16% q/q with Ethernet up 100%, and **3)** OctQ DC guided higher q/q, we estimate up ~9% q/q to \$28.5B, **above** cons \$27.8B.

AI Server TAM continues to expand to >\$400B/yr, a >60% CAGR ('23-'27). We see Sovereign AI starting to ramp - a new demand driver, as NVDA noted Japan ramping H200 and multiple other sovereign supercomputer projects utilizing CUDA; NVDA sees Sovereign AI revenue in the "LDD \$B" range in F25E, up from \$0 in F24. China revenues were up q/q, but still below pre-export-restriction highs.

2025/F26 another strong year with GB200 - Mix of MGX trays to full rack NVL 36/72 Servers. We believe 2025 could be another strong year as NVDA ships GB200 superchip NVL36/72 racks at strong 75% GMs still at ~\$2-3M ASP, versus full-rack servers which could have carried lower margins. NVDA has noted longer-term DC demand of ~\$500B/yr with new greenfield AI DC driving ~\$250B/yr of demand, and upgrading an existing ~\$1 Trillion of installed data centers, WELL ABOVE C2024E NVDA AI DC revenues of ~\$107B and ABOVE TOTAL industry compute server demand of ~\$120B. We are raising F26E(Jan) estimates from \$168B/\$3.79 to \$170B/\$3.85, with rev/EPS up 37%/38% y/y, **and raise PT to \$140 (prior \$132). NVDA also announced a new ~\$50B buyback.**

Valuation

Reiterate NVDA Outperform with a \$140 PT, or 36.3x F26E P/E, below the midpoint of the long-term historical range of 22-67x, as we see NVDA growing C2024/25E top line ~103%/37% y/y, with EPS up 115%/38% y/y, dominating the AI market, with a TAM growing >60% CAGR C23-27E. We believe the AH pullback positions attractively at ~31x P/E, vs F25E top line growing ~100% y/y.

MIZUHO SECURITIES USA LLC

Connect With Our Analysts

Vijay Rakesh | Managing Director
+1 312 294 8682 | Vijay.Rakesh@mizuhogroup.com

Jason Getz | Vice President
+1 312 294 8610 | Jason.Getz@mizuhogroup.com

David Liu | Senior Associate
+1 201 626 1539 | David.Liu@mizuhogroup.com

Jacob Grandstaff | Associate
+1 312 294 8694 | Jacob.Grandstaff@mizuhogroup.com

Overview

Rating (Previous)	Outperform (No Change)
Price	\$125.61
Price Target (Previous)	\$140.00 (\$132.00)

Key Data

Symbol	NVDA (NASDAQ)
52-Week Range	\$140.76 - \$39.23
Market Cap (\$mm)	\$3,090,006
Shares Outstanding (mm)	24,600.0
Average Daily Volume	359,857,856
Dividend/Yield	\$0.02/0.0%

Source: Bloomberg

Fiscal Year-End: Jan 31

Earnings per Share (\$)	2024A	2025E Prior	2025E Curr	2026E Prior	2026E Curr
Q1	0.11A	-	0.61A	0.84E	0.85E
Q2	0.27A	0.63E	0.68A	-	0.92E
Q3	0.40A	0.69E	0.73E	0.98E	0.99E
Q4	0.52A	0.76E	0.77E	1.05E	1.09E
FY	1.30A	2.69E	2.79E	3.79E	3.85E
P/E	96.9x		45.1x		32.6x

Source: Company Data, Mizuho Securities USA
Research estimates

The Mizuho View

Investment Thesis

We see NVDA remaining the leader in the AI training and inference chips for Data Center applications (we estimate >95% share), which we believe is growing at a 74% CAGR to >\$400B by 2027E. Gaming GPUs (we estimate >75% PC share) are expected to remain healthy and stable, while NVDA's automotive ADAS pipeline remains strong. We continue to see NVDA executing its roadmap, with GH200 and H200 ramping in 2024E, as well as increasing its AI server content via the Grace CPU. We believe headwinds from China AI chip restrictions remain muted. We also see upgrade cycle opportunity for the RTX 50-series as RTX 40-series penetration remains at ~10% of the PC market, as NVDA could see a >\$10B/yr Gaming revenue run rate.

Base Case/PT

NVDA remains well positioned in the machine learning, deep learning, and AI markets. Our \$140 PT reflects ~36.3x F26E P/E, still within its historical range ~20-65x as it retains >75-90% market share in DC/AI.

Bull Case/PT

NVDA has significant market leading opportunities in the AI/DC, Gaming, and Automotive markets, which could drive F26E EPS to ~\$5 and a share price of ~\$200, ~40x F26E P/E.

Bear Case/PT

If NVDA is unable to maintain strong growth in key markets as well as fails to capitalize on AI opportunities, we could see it trading closer to 27x, with its F26E EPS lowered to ~\$3.50 and a share price of ~\$95.

Risks

Escalations of export restrictions to China and other geopolitical tensions (Taiwan) or a significant pullback in AI Server spending could be headwinds. We would also note limited CoWoS capacity at TSMC, and other suppliers, potential for FTC lawsuits, and growing competition both domestically and in China, pose additional challenges.

JulQ Results Solid with Hopper Ramps

NVDA reported JulQ rev/GM/EPS of \$30.0B/75.7%/\$0.68 (Cons \$28.9B/75.5%/\$0.65), with **all end-markets seeing strong y/y growth**. JulQ GMs were down 310bps q/q and opex up 12% q/q. JulQ inventories were up 14% q/q; inventory days were down 14 q/q to 81 days (AprQ: 95 days) as NVDA noted purchase commitments and inventory obligations of \$27.8B (AprQ \$18.8B) up 48% q/q pointing to strong 2H ramps. OctQ GMs were guided down ~80bps q/q to 75.0% (in line w cons. 75%), we believe with continued investments into Blackwell, as NVDA prepares to launch its new line of AI products, with full-year GM guide reiterated at the mid-70% range (lower JanQ GMs q/q ahead of Blackwell ramp). NVDA now sees Opex growing mid- to high-40% y/y (prior low-40%) as it continues to invest in developing new products.

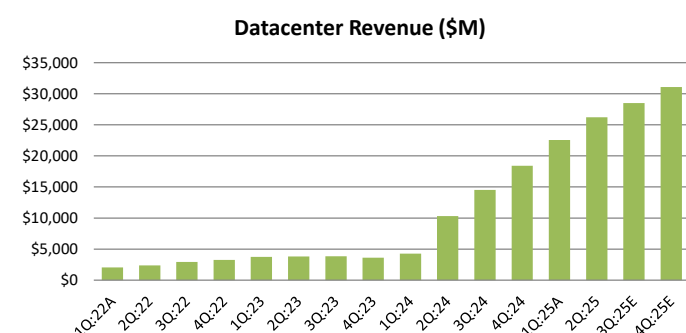
Solid JulQ DC revs and OctQ Guide with Strong Hopper and JanQ Initial Blackwell

JulQ Data Center (~87% of rev) was up 16% q/q and 157% y/y as NVDA saw strength at both hyperscaler and enterprise customers, and total OctQ revenue guided up 8% q/q with DC better q/q, we estimate up ~9% q/q (cons. \$27.8B, up ~11% q/q) and 96% y/y, as NVDA noted ramps with the majority of Fortune 100 companies for AI chatbots, AI Copilots, and agents to help monetize applications and improve employee productivity at companies like ServiceNow (NOW, covered by Gregg Moskowitz, Outperform, \$850PT), SAP (NC), and Snowflake (SNOW, covered by Gregg Moskowitz, Outperform, \$165PT). NVDA also noted it continues to see automotive and HC as strong growth sectors with both potentially leading to "multi-\$B" revenue opportunities in F26E.

Gaming (9% of Rev) Rebounding with GeForce 40-Series and OctQ potentially up Q/Q

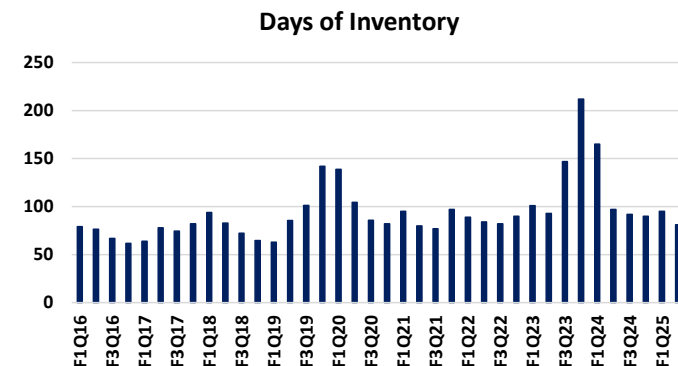
JulQ Gaming revenue was up 9% q/q, and 16% y/y with strong deliveries of GeForce RTX 40 series GPUs and console SoCs. We estimate OctQ Gaming up 8% q/q as NVDA noted strong performance across consoles, notebooks and PCs. We believe NVDA now has RTX in over 200 models, giving it a large AI PC ecosystem for consumers. Pro-Vis was up 6% q/q in the JulQ, driven by ramps of workstations built on NVDA's Ada architecture and OctQ we estimate down slightly q/q. Automotive was up 5% q/q and 37% y/y. NVDA noted Automotive revenues saw strength in AI cockpit solutions and self-driving platforms.

Exhibit 2 - DC Ramping with Hopper Now and Blackwell in 2025E



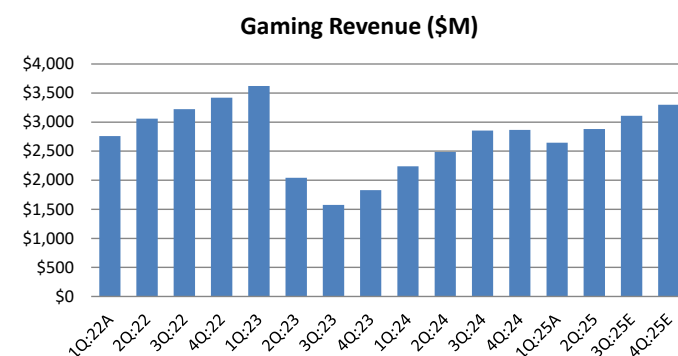
Source: Company reports, BBG, MSUSA Estimates

Exhibit 1 - DOI Stable as AI Revs Continue to Ramp



Source: Company reports, BBG, MSUSA Estimates

Exhibit 3 - Gaming Normalizing with ~77% Share



Source: Company reports, BBG, MSUSA Estimates

Maintaining Outperform, raising Ests/PT to \$140 from \$132 with strong 2H Hopper and initial Blackwell Ramps

Raise our OctQ rev/eps ests from \$30.8B/\$0.69 to \$32.5B/\$0.73 (cons. \$31.9B/\$0.71), F25E from \$119B/\$2.69 to \$124B/2.79 (cons. \$122B/\$2.71), F26E from \$168B/\$3.79 to \$170B/\$3.85 (cons. \$170B/\$3.87) and F27E from \$194B/\$4.34 to \$199B/\$4.56 (cons. \$198B/

\$4.60). Maintain Outperform, and raising PT to \$140 (from \$132), ~36.3x F26E EPS, modestly below the midpoint of the long-term historical range of 22-65x, and a premium to the SOX at ~21x as we see NVDA growing F25/26E top line ~103%/37% y/y and EPS 115%/38% y/y WELL ABOVE its peer group. We see NVDA continuing to dominate the AI market with its TAM growing at a >60% 2023-27E CAGR towards ~\$400B. NVDA repurchased \$7.2B shares in the JulQ, with \$57.5B in repurchases remaining and a new \$50B repurchase program approved.

Exhibit 4 - Comparable Valuations as of August 28, 2024

Company	Ticker	Rating	Price Target	Price	Market Cap	C25E Sales (\$M)	C25E EV/EBITDA	C25E EV/Sales	C25E P/Sales	C25E EV/FCF	C25E P/E
Advanced Micro Devices Inc	AMD	Outperform	\$195.00	\$146.36	\$236,881	\$32,808	23.7x	7.1x	7.2x	34.6x	27.0x
Intel Corp	INTC	Neutral	\$22.00	\$19.61	\$83,852	\$56,498	6.7x	1.9x	1.5x	N/A	18.2x
NVIDIA Corp	NVDA	Outperform	\$140.00	\$125.61	\$3,090,006	\$163,536	26.8x	18.8x	18.9x	35.9x	34.0x
Broadcom Inc	AVGO	Outperform	\$190.00	\$158.18	\$736,310	\$61,599	20.4x	13.0x	12.0x	26.1x	25.0x
Marvell Technology Inc	MRVL	Not Rated	-	\$68.44	\$59,242	\$7,023	25.0x	8.9x	8.4x	39.7x	29.3x
Credo Technology Group	CRDO	Outperform	\$30.00	\$34.10	\$5,661	\$442	42.9x	11.9x	12.8x	69.2x	49.6x

Source: Company reports, BBG, MSUSA

Financials

Exhibit 5 - NVDA Income Statement

(NVDA) In \$M, Except Share Data FY end Jan 8/28/2024	2024	1Q:25A Apr	2Q:25 Jul	3Q:25E Oct	4Q:25E Jan	2025E	1Q:26E Apr	2Q:26E Jul	3Q:26E Oct	4Q:26E Jan	2026E	1Q:27E Apr	2Q:27E Jul	3Q:27E Oct	4Q:27E Jan	2027E
Street Revenue Consensus	60,922	26,044	28,857	31,854	34,976	121,562	37,977	40,135	42,670	46,643	169,574	46,877	48,811	47,273	52,936	198,430
Total Revenue	60,922	26,044	29,990	32,507	35,325	123,867	38,214	40,788	43,331	47,849	170,182	48,116	49,088	50,218	51,710	199,132
Cost of sales (Non-GAAP)	15,964	5,484	7,261	8,127	9,538	30,410	9,936	10,197	10,746	11,867	42,745	12,029	12,026	12,303	12,927	49,286
Gross Profit (Non-GAAP)	44,958	20,560	22,729	24,381	25,787	93,457	28,278	30,591	32,585	35,983	127,437	36,087	37,061	37,915	38,782	149,845
R&D	6,095	1,980	2,241	2,438	2,579	9,238	2,599	2,651	2,600	2,775	10,625	2,743	2,749	2,812	2,896	11,199
SG&A	1,720	521	551	585	601	2,258	650	693	737	813	2,893	818	834	904	931	3,487
Other	9	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Operating Expense (Non-GAAP)	7,824	2,501	2,792	3,023	3,179	11,495	3,248	3,345	3,337	3,589	13,518	3,561	3,583	3,716	3,827	14,687
Operating Income (Non-GAAP)	37,134	18,059	19,937	21,357	22,608	81,962	25,030	27,246	29,249	32,394	113,919	32,527	33,478	34,198	34,956	135,159
Interest income	865	359	444	424	424	1,651	424	424	424	424	1,696	424	424	424	424	1,696
Interest expense	257	64	60	60	60	244	60	60	60	60	240	50	50	50	50	200
Other income (expense), net	3	7	-4	-4	-4	-5	-4	-4	-4	-4	-16	-4	-4	-4	-4	-16
Pretax Income	37,745	18,361	20,317	21,717	22,968	83,364	25,390	27,606	29,609	32,754	115,359	32,897	33,848	34,568	35,326	136,639
Taxes	5,433	3,123	3,365	3,692	3,905	14,085	4,316	4,693	5,033	5,568	19,611	5,592	5,754	5,877	6,005	23,229
Non-GAAP Net Income	32,312	15,238	16,952	18,025	19,064	69,279	21,074	22,913	24,575	27,186	95,748	27,304	28,094	28,692	29,320	113,410
Non-GAAP Diluted Shares (000)	24,933	24,890	24,848	24,848	24,848	24,859	24,848	24,848	24,848	24,848	24,848	24,848	24,848	24,848	24,848	24,848
Non-GAAP EPS (Diluted)	\$1.30	\$0.61	\$0.68	\$0.73	\$0.77	\$2.79	\$0.85	\$0.92	\$0.99	\$1.09	\$3.85	\$1.10	\$1.13	\$1.15	\$1.18	\$4.56
Street EPS Consensus	\$1.30	\$0.61	\$0.64	\$0.71	\$0.78	\$2.72	\$0.85	\$0.91	\$0.97	\$1.06	\$3.80	\$1.04	\$1.14	\$1.16	\$1.09	\$4.62
Street GM Consensus	73.6%	78.4%	75.5%	75.0%	74.9%	76.1%	75.1%	75.2%	75.3%	75.3%	75.4%	73.2%	72.9%	72.7%	72.8%	74.3%
Margin Analysis																
Gross Profit Margin	73.8%	78.9%	75.8%	75.0%	73.0%	75.4%	74.0%	75.0%	75.2%	75.2%	74.9%	75.0%	75.5%	75.5%	75.0%	75.2%
R&D	10.0%	7.6%	7.5%	7.5%	7.3%	7.5%	6.8%	6.5%	6.0%	5.8%	6.2%	5.7%	5.6%	5.6%	5.6%	5.6%
SG&A	2.8%	2.0%	1.8%	1.8%	1.7%	1.8%	1.7%	1.7%	1.7%	1.7%	1.7%	1.7%	1.7%	1.8%	1.8%	1.8%
Operating Margin	61.0%	69.3%	66.5%	65.7%	64.0%	66.2%	65.5%	66.8%	67.5%	67.7%	66.9%	67.6%	68.2%	68.1%	67.6%	67.9%
Pretax Margin	62.0%	70.5%	67.7%	66.8%	65.0%	67.3%	66.4%	67.7%	68.3%	68.5%	67.8%	68.4%	69.0%	68.8%	68.3%	68.6%
Tax Rate	14.4%	17.0%	16.6%	17.0%	17.0%	16.9%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%
Net Margin	53.0%	58.5%	56.5%	55.5%	54.0%	55.9%	55.1%	56.2%	56.7%	56.8%	56.3%	56.7%	57.2%	57.1%	56.7%	57.0%
Qtr/Qtr Change																
Total Revenue		17.8%	15.2%	8.4%	8.7%		8.2%	6.7%	6.2%	10.4%		0.6%	2.0%	2.3%	3.0%	
Cost of Sales		6.6%	32.4%	11.9%	17.4%		4.2%	2.6%	5.4%	10.4%		1.4%	0.0%	2.3%	5.1%	
SG&A		12.5%	5.8%	6.2%	2.6%		8.2%	6.7%	6.2%	10.4%		0.6%	2.0%	8.3%	3.0%	
R&D		13.3%	13.2%	8.8%	5.8%		0.8%	2.0%	-1.9%	6.7%		-1.2%	0.2%	2.3%	3.0%	
Operating Income		22.4%	10.4%	7.1%	5.9%		10.7%	8.9%	7.3%	10.8%		0.4%	2.9%	2.2%	2.2%	
Pretax Income		22.6%	10.7%	6.9%	5.8%		10.5%	8.7%	7.3%	10.6%		0.4%	2.9%	2.1%	2.2%	
Taxes		45.8%	7.7%	9.7%	5.8%		10.5%	8.7%	7.3%	10.6%		0.4%	2.9%	2.1%	2.2%	
Net Income		18.7%	11.2%	6.3%	5.8%		10.5%	8.7%	7.3%	10.6%		0.4%	2.9%	2.1%	2.2%	
Avg Shares (000) - Diluted		0.0%	-0.2%	0.0%	0.0%		0.0%	0.0%	0.0%	0.0%		0.0%	0.0%	0.0%	0.0%	
Diluted EPS Before Chgs		18.7%	11.4%	6.3%	5.8%		10.5%	8.7%	7.3%	10.6%		0.4%	2.9%	2.1%	2.2%	

Source: Company reports, BBG, MSUSA Estimates

Exhibit 6 - NVDA Balance Sheet

All Figures in \$M FY Ends Jan	F4Q24 Jan	F1Q25 Apr	F2Q25 Jul	F3Q25E Oct	F4Q25E Jan	F1Q26E Apr	F2Q26E Jul	F3Q26E Oct	F4Q26E Jan	F1Q27E Apr	F2Q27E Jul	F3Q27E Oct	F4Q27E Jan
Assets													
Current Assets													
Cash and cash equivalents	7,280	7,587	8,571	19,401	25,185	24,730	26,445	30,978	35,454	39,083	48,601	58,996	67,189
Marketable securities	18,704	23,851	26,229	26,229	26,229	26,229	26,229	26,229	26,229	26,229	26,229	26,229	26,229
Accounts receivable	9,999	12,365	14,132	12,631	13,993	15,448	14,987	14,454	15,988	17,764	15,353	13,997	14,696
Inventories	5,282	5,864	6,675	3,026	3,500	4,363	4,491	3,767	4,004	5,075	5,183	4,154	4,120
Prepaid expenses and other	3,080	4,062	4,026	4,026	4,026	4,026	4,026	4,026	4,026	4,026	4,026	4,026	4,026
Deferred income taxes	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Current Assets	44,345	53,729	59,633	65,314	72,333	74,796	76,179	79,454	85,700	92,176	99,391	107,401	116,260
Property and equipment	3,914	4,006	4,885	5,393	5,860	5,949	6,003	6,023	5,983	6,242	6,488	6,719	6,931
Goodwill	4,430	4,453	4,622	4,622	4,622	4,622	4,622	4,622	4,622	4,622	4,622	4,622	4,622
Intangible Assets	1,112	986	952	952	952	952	952	952	952	952	952	952	952
Deposits and other assets	11,927	13,898	15,135	15,135	15,135	15,135	15,135	15,135	15,135	15,135	15,135	15,135	15,135
Total Assets	65,728	77,072	85,227	91,415	98,902	101,453	102,891	106,186	112,393	119,128	126,589	134,830	143,900
Liabilities & Shareholders' Equity													
Current Liabilities													
Accounts payable	2,699	2,715	3,680	4,191	4,962	5,044	5,172	5,496	6,121	6,156	6,127	6,281	6,634
Accrued liabilities and other	6,682	11,258	10,289	10,289	10,289	10,289	10,289	10,289	10,289	10,289	10,289	10,289	10,289
Convertible short-term debt	1,250	1,250	0	0	0	0	0	0	0	0	0	0	0
Total Current Liabilities	10,631	15,223	13,969	14,480	15,251	15,333	15,461	15,785	16,410	16,445	16,416	16,570	16,923
Long-term debt	8,459	8,460	8,461	8,461	8,461	8,461	8,461	8,461	8,461	8,461	8,461	8,461	8,461
Other long-term liabilities	2,541	2,966	3,336	3,336	3,336	3,336	3,336	3,336	3,336	3,336	3,336	3,336	3,336
Capital lease obligations	1,119	1,281	1,304	1,304	1,304	1,304	1,304	1,304	1,304	1,304	1,304	1,304	1,304
Total Liabilities	22,750	27,930	27,070	27,581	28,352	28,434	28,562	28,886	29,511	29,546	29,517	29,671	30,024
Convertible debt obligation	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Stockholders' Equity	42,978	49,142	58,157	63,834	70,550	73,020	74,329	77,300	82,882	89,582	97,072	105,159	113,876
Total Liabilities and Stockholders' Equity	65,728	77,072	85,227	91,415	98,902	101,453	102,891	106,186	112,393	119,128	126,589	134,830	143,900
Ratios :													
DSO	37	39	40	35	34	36	33	30	30	33	28	25	26
Inventory Turns	9.7	9	9.1	10.7	10.9	9	9.1	11.4	11.9	9	9.3	11.8	12.6
Inventory Q/Q	10.5%	11%	13.8%	-54.7%	15.7%	25%	2.9%	-16.1%	6.3%	27%	2.1%	-19.8%	-0.8%
AP Days Outstanding	47.2	44.6	45.6	46.4	46.8	45.7	45.7	46.0	46.4	46.1	45.9	45.9	46.2
Current Ratio	4.2	3.5	4.3	4.5	4.7	4.9	4.9	5.0	5.2	5.6	6.1	6.5	6.9
Return on Equity	29.9%	31.0%	29.1%	28.2%	27.0%	28.9%	30.8%	31.8%	32.8%	30.5%	28.9%	27.3%	25.7%
Return on Sales	66.7%	69.3%	66.5%	65.7%	64.0%	65.5%	66.8%	67.5%	67.7%	67.6%	68.2%	68.1%	67.6%
Return on Assets	19.5%	19.8%	19.9%	19.7%	19.3%	20.8%	22.3%	23.1%	24.2%	22.9%	22.2%	21.3%	20.4%
Cash Per Share	\$0.29	\$0.30	\$0.34	\$0.78	\$1.01	\$1.00	\$1.06	\$1.25	\$1.43	\$1.57	\$1.96	\$2.37	\$2.70
BV/Share	\$1.73	\$1.97	\$2.34	\$2.57	\$2.84	\$2.94	\$2.99	\$3.11	\$3.34	\$3.61	\$3.91	\$4.23	\$4.58

Source: Company reports, BBG, MSUSA Estimates

Exhibit 7 - NVDA CF Statement

All Figures in \$M	FY	1Q25	2Q25	3Q25E	4Q25E	FY	1Q26E	2Q26E	3Q26E	4Q26E	FY	1Q27E	2Q27E	3Q27E	4Q27E	FY
Cash Flow Summary	2024	Apr	Jul	Oct	Jan	2025E	Apr	Jul	Oct	Jan	2026E	Apr	Jul	Oct	Jan	2027E
Free Cash Flow																
Operating Cash Flow	28,090	15,345	14,488	24,955	19,908	74,697	19,549	21,719	24,537	24,480	90,285	23,933	29,822	30,699	28,497	112,951
Capex	(1,069)	(369)	(977)	(977)	(977)	(3,300)	(600)	(600)	(600)	(600)	(2,400)	(900)	(900)	(900)	(900)	(3,600)
Free Cash Flow	27,021	14,976	13,511	23,978	18,931	71,397	18,949	21,119	23,937	23,880	87,885	23,033	28,922	29,799	27,597	109,351
FCF Per Share	\$1.1	\$0.6	\$0.5	\$1.0	\$0.8	\$2.9	\$0.8	\$0.8	\$1.0	\$1.0	\$3.5	\$0.9	\$1.2	\$1.2	\$1.1	\$4.4

Source: Company reports, BBG, MSUSA Estimates

Companies Mentioned (prices as of 8/27/2024)

Advanced Micro Devices, Inc. (AMD- Outperform \$146.36)
Credo Technology Group Hldg (CRDO- Outperform \$34.10)
SAP SE (SAP \$216.93)
Snowflake Inc. (SNOW- Outperform \$111.56)

Broadcom Inc. (AVGO- Outperform \$158.18)
Marvell Technology Group Ltd. (MRVL- Not Rated)
ServiceNow, Inc. (NOW- Outperform \$814.11)

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